

Turkey's Strategic Pivot

Erdogan, S-400, Bayraktar, and the NATO Ally That Plays Both Sides

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Executive Summary

Turkey occupies a position of structural indispensability within the Western alliance architecture that no other NATO member can replicate, yet President Recep Tayyip Erdogan has systematically leveraged that indispensability to extract concessions, deflect accountability, and reorient Ankara toward a multipolarity that sits in deep tension with the alliance's foundational premises. With a population of 85 million as of 2023 and a nominal GDP of \$1.1 trillion, Turkey is the only NATO member simultaneously bordering Europe, the Black Sea, the Aegean, the Mediterranean, and the Middle East — a geography that transforms every Turkish foreign policy decision into a matter of alliance-wide consequence.

Erdogan has served as President since August 2014, having previously governed as Prime Minister from 2003, making him the dominant political figure of the Turkish republic's modern era and the architect of the AKP's (Justice and Development Party) transformation of Turkish institutions. NATO's second-largest army by active personnel — 355,000 troops supported by a fleet exceeding 3,500 main battle tanks — gives Turkey a conventional military weight that the alliance cannot afford to marginalize regardless of political frictions.

The Bosphorus and Dardanelles straits, governed by the 1936 Montreux Convention, represent Turkey's most durable geopolitical lever: Ankara alone controls maritime passage between the Black Sea and the Mediterranean, granting it the legal authority to close the straits to warships during armed conflict — a power it invoked in February 2022 following Russia's full-scale invasion of Ukraine. Turkey's inflation crisis — with consumer price inflation peaking at 85.5 percent in October 2022 according to TURKSTAT — and the subsequent monetary policy reversal under Finance Minister Mehmet Simsek defined the economic arc of the 2022–2025 period, revealing the cost of ideologically-driven central banking and the painful correction that orthodox economics eventually demands.

Part I — Erdogan's Turkey: The Consolidation of Personal Power

The political history of Turkey's second decade under AKP rule is inseparable from the attempted coup of July 15–16, 2016 — a night that Erdogan has described as a "gift from God" and that restructured Turkish state power more thoroughly than any event since the republic's founding. The coup attempt, blamed by the Turkish government on the Gulen movement (referred to officially as FETO — the Fethullahist Terrorist Organization), resulted in more than 250 deaths as rogue military factions deployed tanks and attacked the parliament building in Ankara. Within weeks, the Turkish government had arrested or dismissed more than 50,000 civil servants, military officers, academics, and judges, initiating a purge of institutional breadth unprecedented in the NATO alliance.

The purge's consequences for Turkish civil-military relations were structural and lasting. The military's traditional role as guardian of Kemalist secularism — which had produced four direct or indirect coups

since 1960 — was permanently broken. Erdogan replaced the discredited General Staff with figures loyal to the presidency, transferred command authority to the executive, and presided over the abolition of the office of Chief of General Staff as an autonomous power center. The judiciary was reconstituted through emergency decrees, with thousands of judges dismissed and replaced through a restructured Supreme Board of Judges and Prosecutors .

The constitutional transformation was formalized through the April 2017 referendum, in which Turkish voters approved a transition to a presidential system by 51.4 percent in favor . The new system abolished the office of Prime Minister, concentrated executive authority in the presidency, and gave Erdogan control over senior judicial appointments — a consolidation that the Venice Commission assessed as incompatible with democratic checks and balances . The 2018 presidential election, held under the new constitutional framework, returned Erdogan with 52.6 percent of the vote .

The 2023 presidential election produced the most competitive contest of Erdogan's career. Against the joint opposition candidate Kemal Kilicdaroglu — the longtime leader of the Republican People's Party (CHP) — Erdogan secured 52.18 percent in the second round runoff, while Kilicdaroglu received 47.8 percent . The proximity of the result, combined with evidence of substantial AKP vote losses in urban centers and among younger demographics, underscored a structural erosion of the coalition that had delivered Erdogan overwhelming majorities in 2011 and 2015.

The municipal elections of March 2024 confirmed this trajectory, delivering to the AKP its most severe electoral defeat since its founding. Istanbul — the country's largest city and economic hub — remained under CHP control with Ekrem Imamoglu re-elected, as did Ankara under Mansur Yavas and Izmir under Cemil Tugay . Across Turkey's major urban centers, the CHP substantially expanded its mayoralties, reflecting economic frustration driven by the inflation crisis and cost-of-living pressures that had fallen disproportionately on urban wage earners.

Part II — NATO and Strategic Weapons: The F-35, the S-400, and Sweden

Turkey's decision to purchase the S-400 surface-to-air missile system from Russia represents the most consequential act of NATO ally defection in the alliance's post-Cold War history. In 2017, Ankara signed a contract valued at approximately \$2.5 billion for four batteries of the S-400 system, with deliveries completed in 2019 . The purchase triggered an immediate crisis with Washington because the S-400's radars, if integrated into NATO air defense networks, could potentially provide Russian engineers with technical data on allied aircraft — particularly the F-35 stealth fighter, which Turkey had been a production partner and customer for since the program's early stages.

The United States formally expelled Turkey from the F-35 Joint Strike Fighter program in October 2019, citing incompatibility between F-35 operations and the S-400 system and the threat of sanctions under the Countering America's Adversaries Through Sanctions Act (CAATSA) . Turkey lost both its planned purchase of 100 F-35 aircraft and its industrial role as a supplier of components, representing a significant blow to both Turkish Air Force modernization and the domestic defense industry.

The resolution of Turkey's air fleet modernization dilemma came through protracted negotiation over F-16 upgrades. In March 2024, the United States approved a \$23 billion package covering the sale of 40 new F-16 Block 70 aircraft and 79 modernization kits for Turkey's existing F-16 fleet . The approval was explicitly linked to Turkey's ratification of Sweden's NATO membership — demonstrating the transactional logic that has come to define US-Turkey relations under Erdogan.

Sweden's NATO accession became Ankara's most effective leverage point in alliance politics from 2022 onward. Turkey blocked Sweden's membership application for nearly two years, citing Stockholm's

alleged harboring of PKK (Kurdistan Workers' Party) and YPG (People's Protection Units) activists and its suspension of arms exports to Turkey following the 2019 Operation Peace Spring in northeastern Syria . Finland, by contrast, satisfied Turkish conditions more rapidly and was admitted to NATO in April 2023 . Erdogan ratified Sweden's accession in March 2024, completing the Nordic enlargement only after extracting the F-16 deal and Swedish legislative amendments on extradition and counterterrorism cooperation .

Turkey's role in the Ukraine war has been characteristically dual-track. Ankara sold Bayraktar TB2 combat drones to Ukraine — a contract reportedly valued at approximately \$69 million covering approximately 20 systems — and the TB2's effectiveness in the early weeks of the war against Russian armored columns and logistics infrastructure generated significant international attention for Turkey's defense export industry. Simultaneously, Turkey maintained TurkStream, the Russian natural gas pipeline running beneath the Black Sea with a capacity of 31.5 billion cubic meters per year , and declined to impose sanctions on Moscow, enabling Turkey to serve as a significant transshipment corridor for goods reaching Russia.

Erdogan's most high-profile act of mediation was the Black Sea Grain Initiative, brokered between Russia, Ukraine, Turkey, and the United Nations in July 2022 . The deal enabled Ukrainian grain exports through Black Sea corridors, temporarily alleviating global food price pressures. Russia terminated its participation in July 2023 , leaving Turkey's mediation role structurally intact but operationally diminished.

Part III — Economy and Lira Crisis: The Cost of Unorthodox Doctrine

The trajectory of the Turkish lira constitutes one of the most dramatic currency collapses in the history of a G-20 economy. From a rate of approximately 3.5 lira per US dollar in 2017, the currency declined to beyond 30 lira per dollar by 2024 , representing a loss of more than 85 percent of its value in seven years. The proximate cause was a sustained period of unconventional monetary policy implemented at Erdogan's personal insistence, rooted in his heterodox conviction that high interest rates cause rather than cure inflation — a position that inverts conventional monetary economics and that he repeated publicly on multiple occasions .

From late 2021 through mid-2023, the Central Bank of the Republic of Turkey cut its benchmark interest rate even as inflation accelerated, providing international markets with clear evidence that monetary policy was being subordinated to political preferences for cheap credit and short-term economic growth. Consumer price inflation reached 85.5 percent year-on-year in October 2022 as measured by TURKSTAT, the Turkish Statistical Institute , the highest rate recorded in the post-1990 period. Core inflation and producer price inflation ran even higher, with the latter exceeding 150 percent at certain points.

The political inflection arrived immediately after the 2023 election. Erdogan appointed Mehmet Simsek, a former Merrill Lynch and Deutsche Bank economist who had previously served as Finance Minister from 2009 to 2018, to lead the economic team . A succession of central bank governors followed — Gaye Erkan was appointed in June 2023, resigned in February 2024, and was succeeded by Fatih Karahan — as the institution worked to establish credibility through aggressive rate hikes. The policy rate rose to 50 percent by March 2024 , representing one of the sharpest tightening cycles in the bank's history.

Turkey's current account deficit reached -5.4 percent of GDP in 2022 , reflecting the structural imbalance between an energy-importing, manufacturing-exporting economy and persistently elevated global energy prices. The corrective came partly through record tourism revenues — \$46.3 billion in 2023, the highest in Turkey's history — alongside textile exports of approximately \$23 billion . Turkey's defense export sector reached \$5.5 billion in 2023, a figure confirmed by the Presidency of Defense Industries (SSB) , reflecting the maturation of a domestic defense industrial base that produced the TB2 drone, HISAR air defense

systems, and the ALTAY main battle tank.

Part IV — Syria and the Kurdish Question: Permanent Friction Zones

Turkey's Syria policy since 2011 has been shaped by two intersecting strategic imperatives that at times have pulled in contradictory directions: the desire to remove the Assad regime and support Sunni opposition forces, and the imperative to prevent the emergence of an autonomous Kurdish political-military entity along Turkey's southern border. Ankara's support for Syrian opposition groups in the conflict's early years positioned Turkey as a principal external actor backing factions opposed to Damascus, but the rise of US-backed Kurdish forces — specifically the YPG and its political arm, the PYD — transformed the calculus.

Operation Olive Branch, launched in January 2018, saw Turkish Armed Forces and allied Syrian opposition militias enter Afrin canton in northwestern Syria, dislodging YPG forces and establishing a Turkish security zone . Operation Peace Spring followed in October 2019, targeting YPG/SDF positions in northeastern Syria along a stretch of border territory . The operations drew significant international criticism — the European Union suspended arms exports, and the United States imposed brief sanctions — but established facts on the ground that subsequent diplomatic settlements largely accommodated.

The Syrian refugee burden remains among the most consequential consequences of the Syrian conflict for Turkish domestic politics. Turkey hosts more than 3.6 million registered Syrian refugees, making it the world's largest single refugee-hosting country . The political salience of the refugee issue — which became a central theme of the 2023 election campaign, with opposition parties including CHP proposing accelerated repatriation — reflects a shift in Turkish public opinion toward refugee fatigue and a growing perception of economic and social competition.

The PKK conflict, which has claimed more than 40,000 lives since 1984 , continues to define the structural limits of any Kurdish political accommodation within Turkey. The PKK is designated a terrorist organization by Turkey, the United States, and the European Union. The HDP (Peoples' Democratic Party), Turkey's principal pro-Kurdish political party, has been subjected to sustained judicial pressure — its co-chair Selahattin Demirtas has been imprisoned since November 2016 , despite a European Court of Human Rights ruling ordering his release. The Operation Claw series — a sequence of air and ground operations targeting PKK bases in northern Iraq's Qandil mountains — demonstrates the continuity of Turkish counterterrorism operations across multiple governments .

Part V — BRICS and Multipolarity: Erdogan's Strategic Horizon

Turkey's 2024 application for BRICS membership represents the clearest articulation of Erdogan's multipolarity doctrine and its incompatibility with the assumptions that underpin NATO alliance solidarity. In applying to join a bloc whose founding rationale was explicitly to provide an institutional counterweight to Western-dominated multilateral institutions, Turkey became the first NATO member state to formally seek BRICS membership . The application reflects a calculation that Turkey's structural importance to NATO provides insurance against alliance expulsion, while BRICS membership provides access to alternative financial mechanisms and political legitimacy as a leader of the Global South.

The Akkuyu nuclear power plant, currently under construction in Mersin province, embodies the depth of Turkish-Russian energy interdependence that Erdogan has cultivated as a hedge against Western economic pressure. The project involves four VVER-1200 reactors (each rated at 1,200 MW electrical output) built and financed by Russia's Rosatom state corporation at an estimated cost of \$20 billion . The first reactor was targeted for commissioning in 2026, though construction delays pushed the original schedule . The plant's ownership structure — Rosatom retains majority ownership through a Turkish

subsidiary — means that Russia will effectively own a major component of Turkey's electricity generation infrastructure for the duration of the plant's operational life.

Turkey-China relations have been shaped by the Belt and Road Initiative's transit corridor ambitions and by pragmatic telecommunications and infrastructure deals. Huawei has secured Turkish infrastructure contracts, including participation in 5G network development . The Turkey-China relationship is complicated, however, by Turkish government statements in support of Uyghur rights and concerns — Turkey has historically been a refuge for Uyghur diaspora communities — creating an ideological friction that limits the depth of strategic alignment.

Gulf dynamics have been transformed by the normalization of relations between Turkey and the UAE in 2023, following the rupture caused by the 2017 Qatar blockade, in which Turkey firmly backed Doha. Qatar provided a \$15 billion currency swap agreement to Turkey during the 2017 crisis , a form of financial solidarity that deepened the Turkey-Qatar security relationship and led to the establishment of a Turkish military base in Qatar. The UAE's Abraham Accords normalization trajectory and Turkey's subsequent diplomatic outreach produced a pragmatic reconciliation grounded in shared economic interests, though the ideological gulf between Abu Dhabi and Ankara over political Islam and the Muslim Brotherhood remains .

Erdogan's positioning as a self-styled mediator — between Russia and Ukraine, between Israel and Hamas, between Iran and the West — reflects a consistent strategy of maintaining simultaneous relationships with adversarial parties. This posture generates diplomatic access and international visibility disproportionate to Turkey's economic weight, while its credibility depends on Ankara maintaining genuine working relationships with all sides — a balance that becomes increasingly difficult to sustain as conflicts deepen and parties demand clearer alignment.

Conclusion

Turkey under Erdogan has successfully transformed structural geographic indispensability into political leverage, extracting tangible concessions — advanced weapons systems, alliance acquiescence on Kurdish policy, diplomatic recognition as a mediator — while pursuing strategic relationships antithetical to NATO solidarity. The Bosphorus and Dardanelles will remain the permanent foundation of Turkish leverage regardless of which government holds power in Ankara: no alliance can afford to lose control of the world's most strategically critical maritime chokepoint, and no Turkish government, however internally reformist, can afford to surrender the negotiating power that geography provides.

The tensions between Erdogan's multipolarity ambitions — BRICS application, Akkuyu nuclear dependency, S-400 retention — and Turkey's formal NATO obligations are not reconcilable within any conventional alliance framework. They reflect instead an Erdogan doctrine that treats NATO membership as a security guarantee and economic relationship rather than an ideological commitment, and that views every alliance obligation as a negotiating asset rather than a binding constraint. The 2023 and 2024 electoral results suggest that Turkish voters are more economically focused than geopolitically aligned with Erdogan's multipolarity vision, but economic nationalism and religious-conservative coalition politics provide the AKP with structural resilience that opposition fragmentation has been unable to overcome. Turkey's strategic balancing act will endure because all parties — NATO, Russia, the Gulf, China — have compelling reasons to keep Ankara engaged, and because Erdogan has demonstrated the tactical sophistication to ensure that none of them can afford to walk away.

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